

SAM PRECIOUS METALS: UAE-based refiner with ambitious plans on expanding globally



Mr Ahmad Abu Ahmad

Deputy General Manager, SAM Precious Metals

Can you elaborate on your company?

Mr Sadi: Mr Sami Abu Ahmad, our Chairman, is the man behind this company who is credited with having an incredible vision. This refinery is very special and comes from a lot of hard work. We have a vision where we want to create a sustainable precious metal value chain for our customers and work responsibly by adhering to all the regulations.

We want to provide our customers with the best quality products and services at competitive prices and timing. We want to ensure that Sam Precious Metals will become one

of the top refineries in the world. Of course, as you mentioned about opening refineries, we have already fulfilled part of that plan; we have opened refineries in Egypt along with Dubai, so we are moving towards that direction with support from all the participants and our fantastic team; we are very confident that very soon we will achieve all our objectives.

As they say, “Well started is half done”, so we are confident that we will achieve all our goals with our dedicated and efficient team.

About SAM PRECIOUS

METALS: A significant player in UAE. The company has an excellent vision to expand globally, and they have been planning to set up around 13 refineries around the globe

Mr Ahmad: As you mentioned, opening up the 13 refineries worldwide is the vision of our chairman, Mr Sami; he wants to link the producing countries with the consuming countries. We have already expanded to Egypt in 2021, and hopefully, there will be many more.

What are your plans to diversify your refining capacities?

Mr Sadi: We want to establish them all around the globe. We have plans to have footprints of Sam across the world, it is not a local brand, and we don't want it to be associated with a particular market. It will be a household name one day, and everyone will know about Sam. We want to create a brand with responsible sourcing, quality value, trust, confidence and respect.

You want to establish yourselves as the benchmark?

Mr Sadi: Absolutely! We are working very hard, and every member of Sam welcomes everyone to come and see what we are putting into this brand. This brand is close to our hearts. We do not consider this as work; we are living SAM.

I'm sure Ahmad will elaborate more on how passionate we are about it and how much effort we put in. All of this is under the leadership of Mr Sami, a pioneer in the field of precious metals. He is a man of vision who has established many brands with a wealth of experience, and the knowledge of the technical know-how that he brings is excellent.

Mr Ahmad: Actually, this has been our target from the start. We were established in 2018, and the refinery is now four years old. I'm happy to say during 2022, we have succeeded in getting the



Mr Sadi Ahmad

Global Head of Legal & Compliance, SAM Precious Metals

RJC Certification and UAE Good Delivery for Gold Accreditation. Sam has been recertified for Code of Practices (COP), which we first achieved in May 2019. Further, we are the first refinery in the whole of Middle East to become an Chain of Custody (COC) Certified Entity. Also, we are the first refinery to get the same in Egypt. So, this has been a year of great success and more to come.

So, you're challenging yourself constantly to grow more?

Mr Ahmad: This is a year of achievement, but this success is the culmination of four years of hard work. This recognition comes in certificates and accreditations, but the work started in March 2018. This is the fruit of the hard work we have

put together for many years. If we talk about the RJC COP standards, that focuses a lot on the health, safety and environmental standards, and there's something I will tell you as the deputy general manager and as somebody who is directly looking into the operations aspect; the top management is actually on the grounds, so we are spending several hours in the factory ensuring that all the standards are maintained, and that's not for certificates, let's be very clear, accreditation is a recognition for us. Still, we do it from our hearts, we believe in being environmentally responsible, and we believe in maintaining the safety of our staff. Everyone in the refinery is like a family member, and I think that one of the most critical aspects of Mr Sami's vision is that everyone is



a part of his family. Here at Sam, our primary investment and main asset is manpower.

How much is Sam Precious Metals concerned about the environmental effects and trying to take steps to conserve energy and curb the amount of pollution?

Mr Sadi: Absolutely, no waste goes out of our factories. All the solid waste is sent to ash refineries where it is recycled; we have a recycling plant for water within our factory itself, so there is no drop of water going out of our factory that is polluted or above the prescribed limit by the government. We have a lot of regulators coming over to check our systems.

We still believe, as a team, there's a lot we have to do, Sam is not an organisation that will be satisfied with what we have achieved and say we have the best yet because we know that our dreams and goals are much higher. When we get a certificate or accreditation, we look to what's next.

You keep raising the benchmark?

Mr Sadi: Absolutely, we as an organisation believe that every day is a new learning, a new challenge, and we want to keep improving our

standards and ourselves constantly, both individually and collectively, as an organisation. We have been closely working on the development of our staff; if one goes to our LinkedIn page, they will see our staff posting about new courses that they are doing and new training they are undertaking and collectively, as a team, we are focusing on enhancing the skillset of our manpower. As Mr Ahmad said, the heart of the organisation is the people we are working with, so while they are contributing to our development, we should also contribute towards their development. This is something we are focusing on.

How do you see the Indian bullion market and its potential for players like Sam Precious Metals?

Mr Sadi: India is one of the largest consumers of gold; on an average, 800 tonnes are imported every year. Some data was published last year, which said that in 2021, about 1,067 tonnes of gold were imported into India. Of course, gold consumption in India is also enormous. India has traditionally been a huge market, and there are many reasons why there's a high demand for gold; there are a lot of customs, traditions and passion for gold.

Gold is also looked upon as a symbol of status, as an investment product to hedge against risk; it is also something that is used as a gifting item in marriages and rituals, and it is something that is considered to be very pious or auspicious as it brings in good luck and good fortune. So, when you talk about the gold market in India, it's tremendous, and Sam is a massive player in India already.

You will see our bars with almost all the big dealers here. With the launch of IIBX, we hope to be a major player in this endeavour. With CEPA, we have a significant role to play as we are one of the refiners in the UAE, having the necessary accreditations.

Since you know how regulated this commodity is, how do you see the regulatory and compliance framework changing in favour of demands?

Mr Sadi: For Sam, it is not about regulation and framework; it comes from the heart. These are the words of our chairman, and he says, 'I don't need a book or a law to tell me what is right and wrong. I know it in my heart.' So that is the vision he has imparted to us, and we are following that.

When we talk about the regulatory framework, we have one of the strongest compliances you can see in the whole precious metals industry. You will be amazed to see our due diligence in account opening and transaction monitoring. Recently we had audits for RJC and UAE good delivery, and let me tell you, both the auditors were amazed by the kind of systems we have created because of years and years of hard work.

Systems are not created in one day. You create a vision, and it's a process. It has taken many years to develop, but we are very confident in our developed systems. At the same time, we are looking to improve every day regarding compliance. The best part about it is that the support we get from the management, from the chairman to the general manager to the deputy general manager, it is an absolute freehand that we get.

It is a challenge for compliance to do its work in most places. At sam the decision-making on whether to onboard or reject a client has solely been given to the compliance team without any interference from the management. Sam is a place where we have focused on making compliance an independent function, which talks about the integrity of the department; there is no influence from the management or anybody. We are an independent structure within the organisation.

Every day we are improving; you see, our standards yesterday and today it's one step better, and tomorrow, we will work on something even better, and the idea for Sam is that we will be doing business and doing it responsibly; we will compete in the market with integrity and honesty.



Coming to the refinery aspect, what is your capacity and do you have any visions to scale up your capacity in the existing ecosystem?

Mr Ahmad: Sam Precious Metals, in the year 2018, started the refinery with an 11,000 square-foot warehouse where our capacity reached up to 1.2 tonnes of gold and 500kg of silver.

Currently, Sam has a space of 22,000 square feet, but our developments are not enough yet. So, we have signed a 10-year contract with the concerned authorities to procure a facility in Dubai Production City, which is 65,000 square feet. This new facility along with the current refinery will be approximately 87,000 square feet, making us one of the biggest refineries in the world. This is not just about the capacity but also about the value-added products. We are going to expand our products. Currently, we are offering minted bars ranging from 1 gram to 250 grams with different shapes and trademarks. Sam currently has five exclusive trademarks, and we will start producing precious chemicals used in the precious metal industry.

We will have the full range of services from logistics to refining to hedging.

What's your take on IGC?

Mr Sadi: It's a great event. I congratulate the organisers for having such a well-organised and timely coordinated event. One of the problems in many events is managing such high dignitaries and eminent personalities that generally come for these events. I think IGC has done a great job organising the event; there's a lot of hard work which we do not realise; it's months and months of planning and coordination between the stakeholders that goes into creating such an event. It's an excellent platform for everybody, where we connect with people from different backgrounds and industries, playing a part together in the same industry. Multiple stakeholders are equally important in running our industry. So getting to know people out here and interacting with them is a great opportunity and adds value to the industry and stakeholders here today.